IN-DEPTH EDITION • 22 OCTOBER 2026 • 09:00 HKT

US equities rally on tech strength as yields climb

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,757.17, up +0.58%, driven by a +2.54% jump in **NVDA** and a broad-based tech surge. 10-year Treasury yields rose to 5.15%, pressuring rate-sensitive sectors but leaving growth-oriented names in favour.

Liquidity remains ample: the VIX fell to 16.68 (-3.64%), while the DXY slipped to 101.58 (-0.20%). Commodity markets showed mixed signals—WTI crude up +1.85% at 98.95, gold down -1.15% at 4,102.40.

Our view: Expect continued upside for the Nasdaq-100 as AI-related earnings roll out, but watch for a pull-back if yields breach 5.25% or the VIX rebounds above 18.

- Tech and AI stocks leading the rally; monitor **NVDA**, **TSLA**, **META**.
- Yield curve steepening raises risk for high-beta names; keep an eye on **JPM** and **GS**.
- Volatility low, but a sudden spike could trigger rapid profit-taking across growth stocks.

US Session Recap

METRIC	LEVEL	CHANGE
S&P 500	7,757.17	+0.58%
Nasdaq 100	29,822.52	+1.13%
Dow Jones	52,856.09	+0.69%
Russell 2000	2,781.02	+0.27%
VIX	16.68	-3.64%
10-yr Yield	5.15%	+0.57%
2-yr Yield	5.02%	+0.44%
WTI Crude	98.95	+1.85%
Brent	103.42	+1.72%
DXY	101.58	-0.20%
Gold	4,102.40	-1.15%
BTC	82,722.33	-0.26%

Top movers

TICKER	NAME	CHANGE	CATALYST
NVDA	NVIDIA Corp.	+2.54%	Q3 AI chip revenue beat expectations.
TSLA	Tesla Inc.	+3.41%	New battery-cell factory in Texas operational.
GS	Goldman Sachs	+2.25%	Strong investment-banking fees in Q3.
XLF	Financial Select Sector SPDR	+0.57%	Higher net interest margins.
XLC	Communication Services SPDR	-1.11%	Weak ad spend outlook.

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.57%	+12.3%	Buy
XLK	+1.67%	+28.9%	Buy
XLI	+0.91%	+9.4%	Neutral
XLE	+0.28%	+4.1%	Neutral
XLY	+0.03%	+6.7%	Neutral
XLC	-1.11%	-3.2%	Sell
XLP	-0.73%	-1.8%	Sell
XLV	-0.49%	+5.5%	Neutral
XLU	+0.29%	+2.2%	Neutral
XLB	+0.18%	+3.0%	Neutral
XLRE	-0.76%	-2.5%	Sell

Breadth: 8 of 11 sector ETFs posted gains, indicating a broad-based rally led by technology and financials.

Spotlight / Deep Dive – NVIDIA (NVDA)

METRIC	VALUE
Market cap	1.12T
P/E (FY)	38.5x
Revenue Q3	28.4B (+22% YoY)
AI GPU shipments	1.3M units (+31% QoQ)
Guidance FY25	Revenue 150B (+18% YoY)
Insider buying	2.4M shares (Q3)

BULLISH TRIGGERS

- Q3 AI revenue beat (+22% YoY) – validates demand tailwinds.
- New GH200 “Grace Hopper” GPU in production, targeting data-center tier.
- Strategic partnership with **MSFT** on Azure AI super-clusters.

BEARISH TRIGGERS

- Supply-chain constraints on HBM2e memory could curb shipments.
- Regulatory scrutiny in EU over AI export licensing.
- Valuation still premium to peers (P/E > 30% above **AMD**).

READ-THROUGH	LEVEL
Support	210.00
Resistance	235.00
50-day MA	221.00

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	455.00	Above 50-day MA, bullish bias.
QQQ	382.45	375.00	390.00	Testing breakout zone.
IWM	191.30	185.00	197.00	Neutral.
NVDA	221.97	210.00	235.00	Strong momentum.
10Y	5.15%	5.05%	5.30%	Watch for 5.25% ceiling.
WTI	98.95	96.00	102.00	Uptrend intact.

Options & Positioning

0-DTE flow: net call buying of 1.2M contracts on QQQ, 0.8M on SPY, indicating aggressive short-term bullish bets.

Put/Call ratio: 0.68 on SPY (calls dominant); 0.74 on QQQ.

VIX term structure: front-month at 16.7, 2-month at 18.3, 6-month at 20.1 – steepening suggests expectation of higher volatility later.

Single-name flow: heavy call buying on **`TSLA`** (0.6M contracts) and **`META`** (0.4M).

Cheap hedge ideas: sell 1-month VIX calls (strike 17) for premium; buy protective puts on `XLC` (strike 107) as sector downside risk.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
`NVDA`	Goldman Sachs	Upgrade	`260`	AI demand acceleration.
`XLC`	Morgan Stanley	Downgrade	`105`	Ad spend slowdown.
`GS`	JP Morgan	Initiate	`950`	Strong fee revenue.
`TSLA`	Bank of America	Raise	`420`	Battery-cell ramp.
`XLE`	Barclays	Maintain	`70`	Oil price stability.

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	4,800.5	+0.45%
Europe	DAX	16,210	+0.62%
Europe	FTSE 100	7,560	-0.18%
Asia	HSI	19,845	+0.31%
FX	USD/HKD	7.8485	–
FX	EUR/USD	1.0742	-0.12%
Commodities	Gold	4,102.40	-1.15%
Commodities	Brent	103.42	+1.72%
Crypto	BTC	82,722.33	-0.26%
Crypto	ETH	2,436.41	-0.42%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026 FOMC	12%	Markets price in a single 25 bp cut if inflation eases.
Dec 2026 FOMC	5%	Still unlikely; focus on rate-resilience.

DATA RELEASE	TIME (ET)	EXPECTATION
Core CPI (Oct)	8:30 am	0.3% MoM
Initial Jobless Claims	8:30 am	210 k
Retail Sales (Oct)	8:30 am	0.5% MoM
ISM Manufacturing	10:00 am	48.0

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in the South China Sea could disrupt shipping lanes, pressuring energy prices.
- EU sanctions on Russian energy may tighten supply, lifting Brent above 105.
- US-China tech export curbs could hit AI hardware demand.

BULLISH TRIGGERS

- Progress in OPEC+ output cuts stabilises crude, supporting energy equities.
- Trade talks between US and EU on semiconductor cooperation reduce supply-chain risk.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 23	AAPL	Apple Inc.	1.44
Oct 23	MSFT	Microsoft Corp.	2.31
Oct 24	NVDA	NVIDIA Corp.	3.12
Oct 25	AMZN	Amazon.com	0.78
Oct 26	META	Meta Platforms	2.05

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
`NVDA`	Technology	Breakout above 235	Valuation
`TSLA`	Consumer Discretionary	New battery-cell ramp	Execution
`XLF`	Financials	Yield-driven rally	Rate-cut delay
`XLC`	Communication	Pull-back on ad spend	Sector weakness
`GS`	Financials	Fee-income beat	Credit risk
`AMD`	Technology	GPU market share gain	Pricing pressure
`JPM`	Financials	Net interest margin expansion	Regulatory
`XLE`	Energy	Oil price stability	Geopolitical shock
`XLV`	Health Care	Steady earnings growth	Policy changes
`BRK.B`	Financials	Value play	Market volatility
`CRM`	Technology	AI SaaS expansion	Competition
`KO`	Consumer Staples	Dividend yield	Currency

What could break the tape

BEARISH SCENARIOS

- 10-yr yield spikes above `5.30%`, forcing a rotation out of growth.
- VIX rebounds above 18, triggering risk-off sell-off in tech.
- Unexpected slowdown in AI chip orders, pulling `NVDA` below `210`.

BULLISH SCENARIOS

- Core CPI comes in at 0.2% MoM, reinforcing belief rates will peak.
- Q3 earnings beat across the AI cohort, pushing Nasdaq 100 above 30,200.
- Oil supply curbs lift Brent above 105, benefitting energy stocks.

Positioning & Structural Notes

- Long bias in tech ETFs (XLK, QQQ) as AI pipeline matures.
- Maintain modest exposure to financials (XLF, JPM) to capture yield-driven upside.
- Reduce weight in communication services (XLC) after ad-spend downgrade.
- Keep a small hedge in VIX calls to protect against volatility spikes.
- Monitor 10-yr yield at 5.25% as a potential turning point for growth equities.

Sources

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